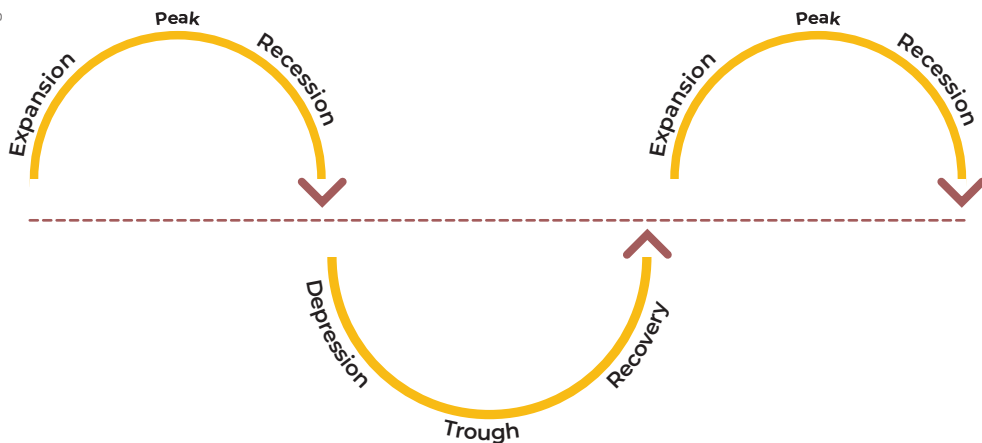


1.4 Business Cycles

The economy as a whole experiences recurring cycles. It can be when the market expands, demand increases, and when the profitability is high. There are other times when the demand is less and as a result, the profitability is also struggling.



Business cycles are long-term in nature and affect the real value of the company.

How?

By affecting the size, quality, and quantity of earnings.

How to identify if the industry is in good/bad position?

Things are not good in an industry when demand is limited and most companies in the industry are struggling.

v/s

When the economy is performing well as a whole, the demand, optimism, and earnings are all touching heights.

Components of Business Cycles

Demand

How much is needed?

Lets say, the market demands or requires Rs. 1000 Cr. of hair oil every year.

Supply

How much is provided?

Rs. 600 Cr. worth of hair oil is supplied every year for the demand of Rs. 1000 Cr. worth of hair oil.